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House View

Tactical response: hold rather than panic-sell, buy rather than wait

Survival strategy: with KOSPI at 5,000pt, let depressed prices and valuations provide a cushion and play the long game

With the KOSPI hovering around 5,000pt, holding is more preferable to joining the panic selling, while proactive buying offers a clear advantage over waiting on the sidelines.
1) The KOSPI's maximum drawdown (MDD) from its two-year high has reached 44.5%, exceeding the 40% threshold historically associated with major global crises and approaching levels seen during systemic shocks such as the 1997 Asian financial crisis, the 2000 dot-com crash, and the 2008 global financial crisis. 2) Even assuming an earnings shock involving 10% and 25% cuts to 2027 and 2028 net profit forecasts, respectively, valuations remain at exceptionally attractive, rock-bottom levels, with adjusted 24-month-forward P/Es at 4.2x for the KOSPI, 2.7x for Samsung Electronics, and 2.5x for SK Hynix. 3) Given improving earnings and successive shifts toward shareholder-friendly financial policies, the KOSPI's 12-month-forward P/B of around 1.0x represents an unjustifiable undershoot in prices and valuation multiples. 4) The VIX has surged 100.6% from its 13-week low of 14.2pt to 28.5pt. With the VIX surging more than 100% from its 13-week low, intense selling pressure in Korean and global equity markets has subsided for now. A sharp rise in the VVIX above 130pt has also typically signaled technical capitulation and an impending rebound, followed by gains in both the KOSPI and the S&P 500.

Key issue: uncertainty in the wake of the blue tsunami

Democratic control of both chambers of Congress was within expectations. However, Democratic gubernatorial victories in key data center states such as Texas, Ohio, and Georgia, alongside mounting local opposition, represents a more pronounced shift than anticipated. While new federal regulations are constrained by the presidential veto and the legislative process, state and local governments can use existing powers to adjust grid connection requirements, environmental permitting, and the costs borne by developers. In Texas, in particular, the Republican state government had already sought permitting restrictions even before the election, while the Democratic governor-elect pledged to extend the suspension of new approvals. Construction on a substantial portion of major data center projects scheduled for 2027 has already begun, but planned 2028 expansions that have yet to break ground are more vulnerable to regulatory changes. Delays to some projects and developers' credit risks are tangible concerns. However, there is insufficient evidence to extrapolate these into a broad-based contraction in AI investment or a collapse in memory demand. The actual scope of regulatory implementation and changes in order placement will be key to resolving market uncertainties.

Portfolio check: defense becomes alpha where fear prevails

Moving through the 3Q26 earnings season, earnings estimates are being revised up again, reflecting expectations for sustained, stepwise earnings growth through 2028. However, the market remains skeptical of this earnings trajectory, with stocks reflecting a record-high discount rate. In particular, semiconductors stocks, which are leading the upward earnings revisions, face the greatest skepticism. As share price declines and volatility expanded in October-November, driven by rising credit risks at CoreWeave, CXMT's server DDR5 launch plan, and the US midterm elections, the VKOSPI surpassed 60pt. However, present volatility differs from that seen in 1H26. Unlike 1H26's greed-driven volatility sparked by a fear of missing out (FOMO) on the rally, 2H26's volatility is driven by fear and downside risk aversion. Historically, volatility had tended to subside once negatives and fear are priced in (put option crowding), but current concentration in put options remains below the critical threshold. Moreover, as post-midterm policy details have yet to take shape, high volatility driven by reactions to Democratic lawmakers' remarks and individual corporate responses is likely to persist. As such, the key priority of current portfolio construction is reducing volatility. Given growing skepticism in the earnings trajectory, a fundamentals-driven portfolio has limits in coping with volatility. We believe now is time to incorporate defensive styles including dividend, value, and oversold. Based on the WI26 sector classification, we advise focusing on semiconductors, IT appliances, media/education, chemicals, and steel.

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Survival strategy: at 5,000pt, play long game with current prices, valuations as a cushion

Markets remain impervious to positive catalysts. Sentiment is driven by ill-defined pessimism and vague suspicions, which overwhelm fundamentals underpinned by continued growth and concrete evidence. Existing headwinds include: 1) persistent macro uncertainty surrounding high inflation, partly driven by elevated oil prices, tight monetary policy, and high interest rates; and 2) intensifying financial risks that threaten the medium- to long-term AI capex supercycle, including sharply declining free cash flow at Big Tech companies, hyperscalers, and neocloud providers, greater reliance on external debt and equity financing, and rising financing costs. These have now been compounded by 3) concerns over tighter Democratic-led data center regulation following the “blue tsunami” in the US midterm elections.

The US and Korea lead the global AI capex and infrastructure investment ecosystem. The US drives AI innovation and data center investment at the demand end, while Korea leads the supporting ecosystem of semiconductors, server/networking substrates and equipment, energy storage systems (rechargeable batteries), cables, and power equipment. Outside the US, Korea is also the only equity market that offers global investors open access to leading AI and semiconductor value-chain stocks, ample trading liquidity, and the ability to build aggressive short positions through single-stock futures and options. This explains why uncertainty surrounding AI capex originated in the US, but the resulting equity market shock was particularly severe in Korea.

Approximately 80% of US data centers currently operating, under construction, or planned are concentrated in the 30 states that will have Democratic governors when new terms begin in 2027. In particular, Texas, Georgia, Ohio, Iowa, and Nevada, the five states where gubernatorial control shifted from Republicans to Democrats in the midterms, account for 24.5% of all operating, under-construction, and planned US data centers. Texas Democratic Governor-elect Gina Hinojosa announced that she would impose a moratorium on new data center approvals until legislation protecting local residents is in place. Michigan Senator-elect Abdul El-Sayed has even advocated the radical left-wing proposal of nationalizing 50% of the equity in AI Big Tech firms and hyperscalers to turn them into public-private joint ventures.

Markets fear nationwide Democratic-led AI regulation and data center moratoriums. However, the likelihood of such outcomes appears limited, given: 1) the potential for President Trump to exercise his veto power; 2) the availability of numerous alternative locations in Republican-led, AI- and data-center-friendly states, including the Dakotas and Wyoming; and 3) the scope for Big Tech companies, hyperscalers, and neocloud providers to pursue greater reconciliation and cooperation with Democrats. Neocloud provider CoreWeave, for example, has sent a letter actively seeking to engage Texas Governor-elect Gina Hinojosa. In our view, the most plausible downside scenario is a modest increase in operating and regulatory compliance costs, along with delays to some construction and planned projects, for the roughly 24.5% of US data centers located in the five states that flipped to Democratic governors.

For the time being, Korean and global stocks are likely to remain volatile, fluctuating in response to the news flow until: 1) a Middle East ceasefire or an end to the Iran war, together with a dovish Fed pivot, eases the risks associated with high inflation, tight monetary policy, and high interest rates; 2) sustained earnings growth at leading Korean and global AI and semiconductor companies alleviates financial concerns; and 3) Democratic-led AI and data center regulatory proposals take clearer shape. Even under extreme assumptions for these three sources of uncertainty, however, we continue to believe that, with the KOSPI around 5,000pt, holding is preferable to joining the panic selling, and proactive buying is preferable to waiting helplessly on the sidelines. Investors should use current rock-bottom prices and valuations as a cushion and prepare to play the long game. Four arguments support this view.

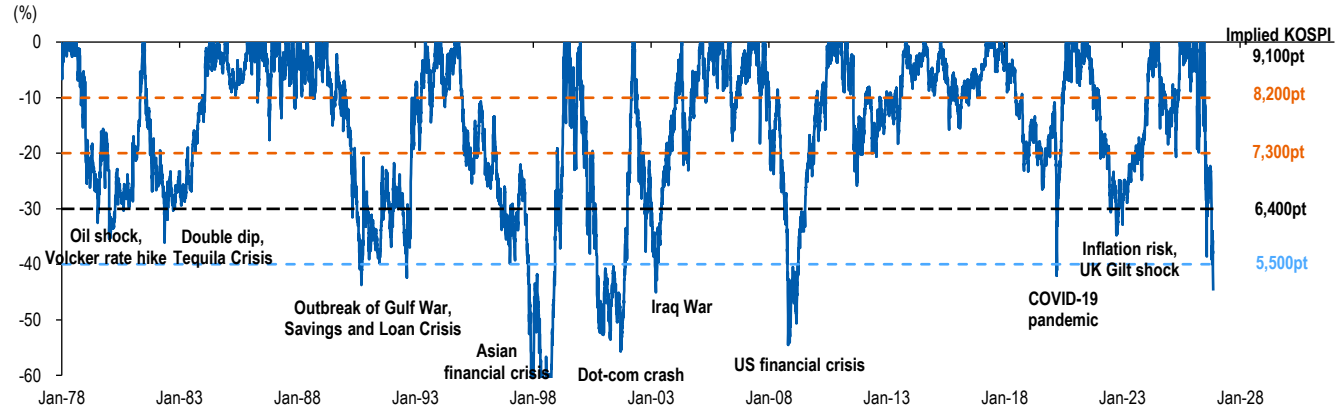
First, as of the Nov 6 close, the KOSPI's maximum drawdown (MDD) from its two-year high has reached 44.5%, exceeding the 40% threshold historically associated with major global crises, including recessions, financial and currency crises, wars, and the COVID-19 pandemic, and approaching levels seen during systemic shocks (perfect storms) such as the 1997 Asian financial crisis, the 2000 dot-com collapse, and the 2008 global financial crisis. Samsung Electronics' (SEC) drawdown from its two-year high is now 48.0%, exceeding the 46.7% decline during the 2008 global financial crisis and approaching the levels seen during the 1997 Asian financial crisis and the 2000 dot-com collapse. SK Hynix's two-year drawdown has likewise reached 61.2%, exceeding the 57.8% decline in 2011, when fears of the firm returning to losses the following year dominated sentiment, and approaching the level seen during the 2008 global financial crisis. These price levels largely reflect an unrealistic and irrational overreaction, effectively pricing in a catastrophic deterioration in AI capex and infrastructure investment followed by a worst-case systemic crisis combining recession and financial turmoil.

Second, we recognize that, in a worst-case scenario, tighter Democratic-led AI and data center regulation could reduce capex at the five largest hyperscalers by 10% in 2027 and around 25% from 2028 onward. Although highly visible and binding long-term agreements (LTAs) support Korea's semiconductor earnings outlook, a conservative assessment should allow for earnings uncertainty of this magnitude. Under this scenario, KOSPI OP estimates would have to be revised to W1,296.5tn for 2027 (down 10% from the current consensus of W1,440.6tn) and W1,182.8tn for 2028 (down 25% from W1,577.0tn). Samsung Electronics' OP estimates would fall to W545.9tn for 2027 (down 10% from W606.6tn) and W501.6tn for 2028 (down 25% from W668.8tn), while those for SK Hynix would decline to W413.9tn for 2027 (down 10% from W459.9tn) and W378.8tn for 2028 (down 25% from W505.1tn). However, current share prices already reflect a worst-case scenario of earnings plunging roughly 40%. Even if the assumed earnings shock materializes, adjusted 24-month-forward P/Es would remain at exceptionally attractive, rock-bottom levels of 4.2x for the KOSPI, 2.7x for Samsung Electronics, and 2.5x for SK Hynix.

Third, as of Nov 6, the KOSPI's 12-month-forward P/B stood at 1.0x based on I/B/E/S data and 0.95x based on Quantiwise data, falling below its historical average of 1.1x. This indicates that the market is fundamentally undervalued even on an asset-value basis, which offers greater visibility and lower volatility. The KOSPI's 12-month-forward P/B has typically tracked changes in net margin and ROE closely. The KOSPI's net margin currently stands at 22.9% and ROE at 30.5%, with both continuing to trend up. Given the improvement in earnings power and successive shifts toward shareholder-friendly financial policies, the current 12-month-forward P/B of around 1.0x represents a temporary and unjustifiable undershoot in share prices and valuation multiples.

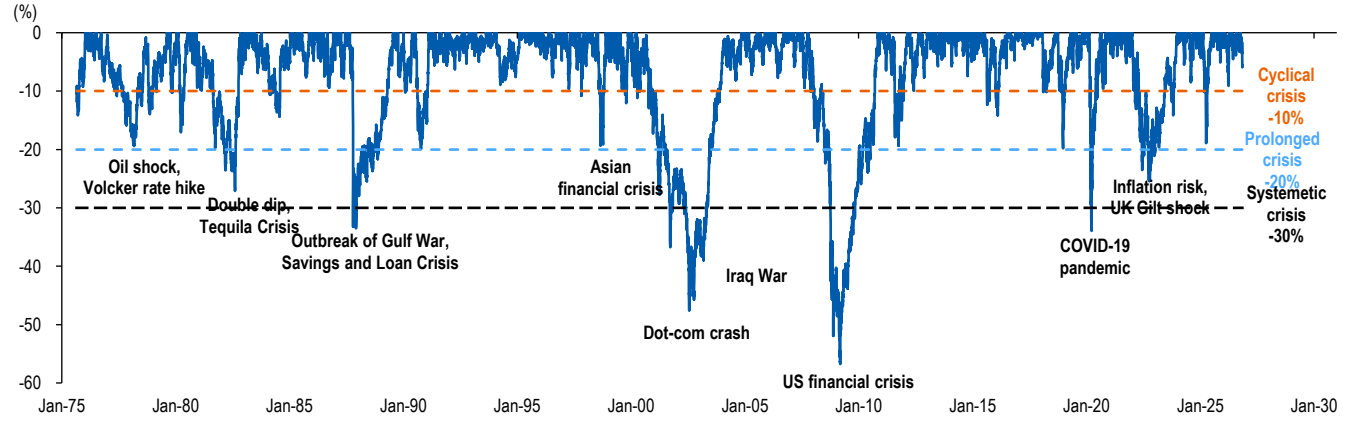
Fourth, as of the Nov 5 close, the VIX stood at 28.5pt, up 100.6% from its preceding 13-week low of 14.2pt on Aug 14. Historically, rapid equity market corrections in Korea and abroad have shown a clear tendency to subside once the VIX has risen more than 100% from its preceding 13-week low. The VVIX, which measures the implied volatility of the VIX, has also surged to 135pt, its highest level since the Iran war. While ordinary fluctuations in the VVIX have shown no clear correlation with Korean or global equities, sharp rises above 130pt have typically signaled technical capitulation and an impending rebound, followed by gains in both the KOSPI and the S&P 500.

KOSPI MDD from recent 2-year high: -44.5% as of Nov 6, plunging to level seen during worst systemic risks (perfect storm)



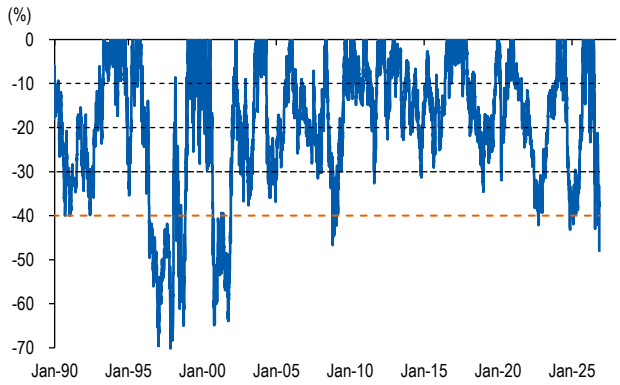
Source: LSEG Workspace, Yuanta Securities

S&P 500's MDD from recent 2-year high: −5.7% as of Nov 6. Further downside limited to around 5% unless global recession or AI collapse materializes



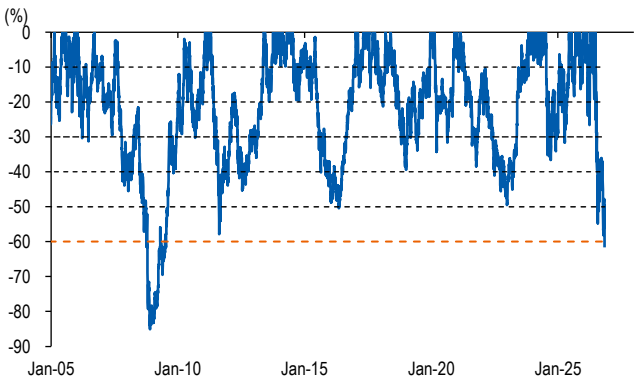
Source: LSEG Workspace, Yuanta Securities

SEC's MDD from recent 2-year high: -47.9% as of Nov 6



Source: FnGuide Quantiwise, Yuanta Securities

SK Hynix's MDD from recent 2-year high: -61.2% as of Nov 6



Source: FnGuide Quantiwise, Yuanta Securities

US data centers by gubernatorial party affiliation upon taking office in 2027

Category (no of data centers)	Operational	Under construction	Planned	Total
Democratic-led states (30)	2,527	318	971	3,816
Republican-led states (20)	621	82	228	931
Washington, DC and Puerto Rico	24	0	0	24
US total	3,172	400	1,199	4,771

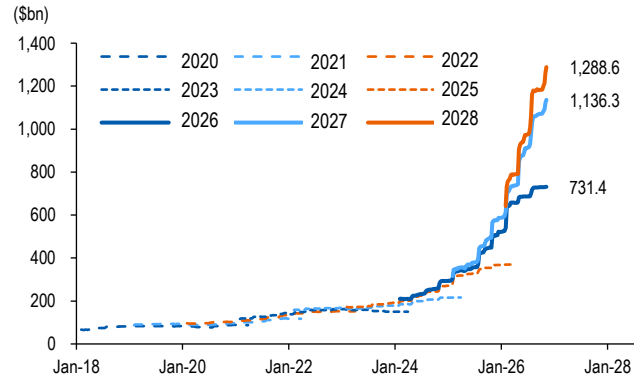
30 Democratic-led states include Alaska and Kansas, where Democratic victories remain provisional
Source: Data Center Map, Yuanta Securities

Data centers in states that flipped from Republican to Democratic governors in 2026 midterms

State (no of data centers)	Operational	Under construction	Planned	Total
Texas	314	73	174	561
Georgia	112	22	98	232
Ohio	154	27	57	238
Iowa	40	6	21	67
Nevada	46	10	17	73
Total for states flipped to Democrats	666	138	367	1,171

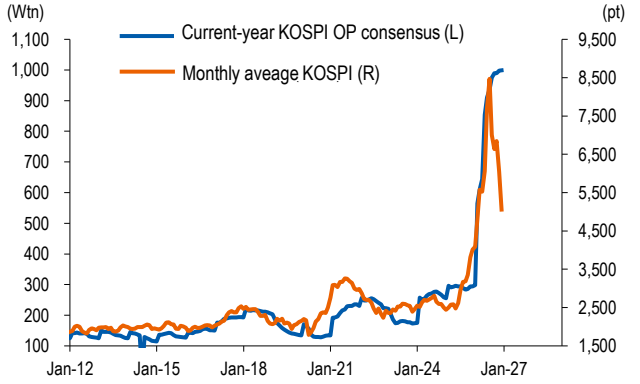
Note: excludes Alaska, where Democratic gubernatorial gain remains provisional.
Source: Data Center Map, Yuanta Securities

Five biggest US hyperscalers: annual capex



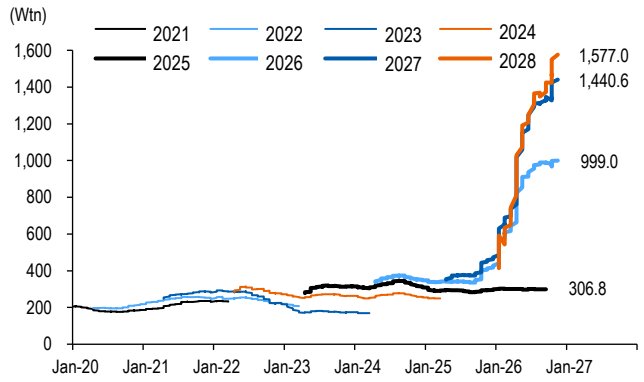
Source: Bloomberg, Yuanta Securities

Current-year KOSPI OP consensus, monthly average KOSPI



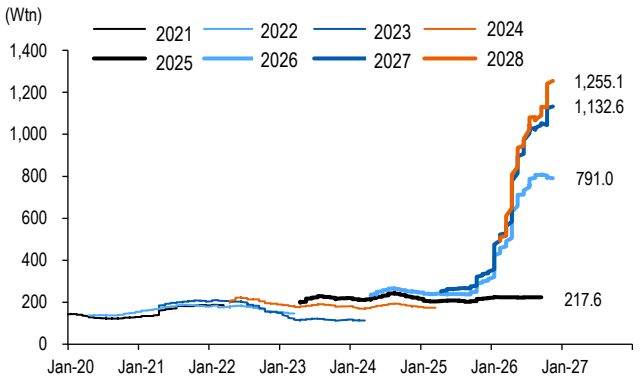
Source: FnGuide Quantiwise, Yuanta Securities

KOSPI: annual OP consensus



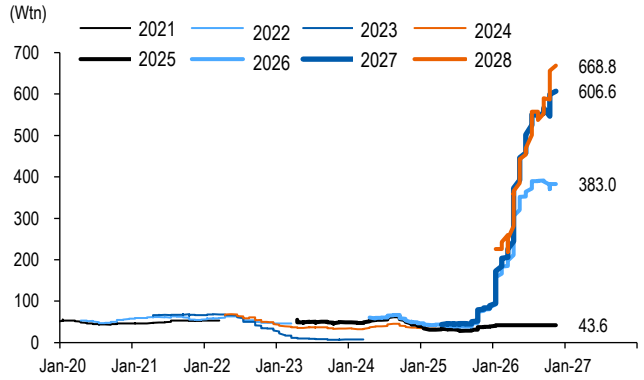
Source: FnGuide Quantiwise, Yuanta Securities

KOSPI: annual net profit consensus



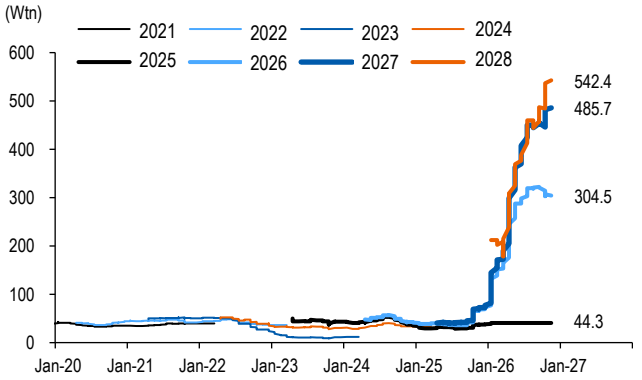
Source: FnGuide Quantiwise, Yuanta Securities

Samsung Electronics: annual OP consensus



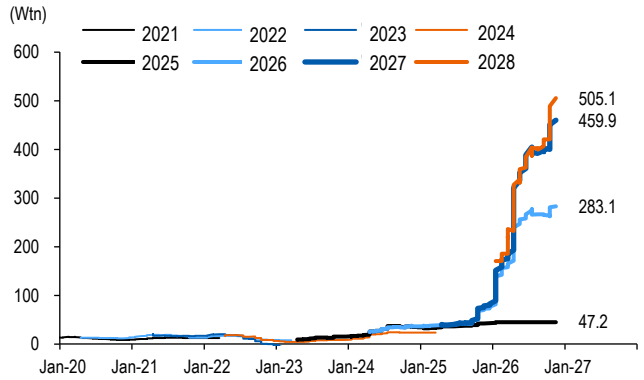
Source: FnGuide Quantiwise, Yuanta Securities

Samsung Electronics: annual net profit consensus



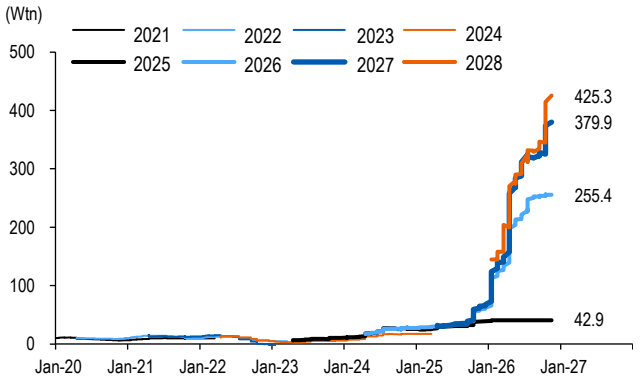
Source: FnGuide Quantiwise, Yuanta Securities

SK Hynix: annual OP consensus



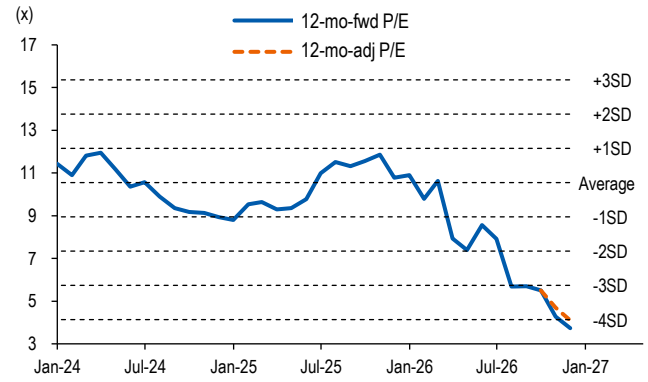
Source: FnGuide Quantiwise, Yuanta Securities

SK Hynix: annual net profit consensus



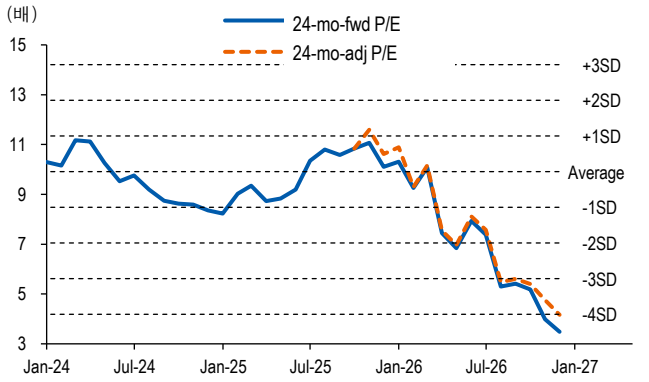
Source: FnGuide Quantiwise, Yuanta Securities

KOSPI: 12MF P/E (current 3.7x) and adj P/E (current 4.1x)



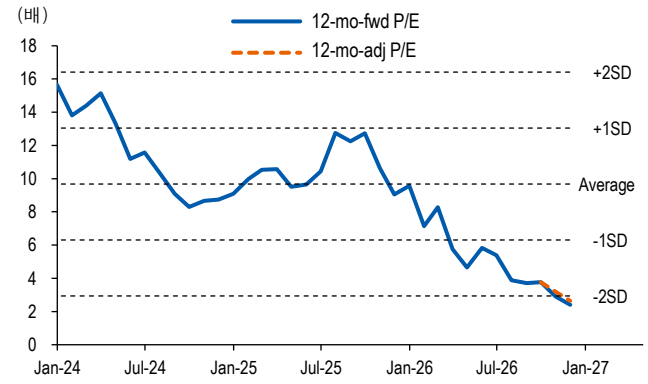
Note: adjusted P/E assumes a 10% reduction in 2027 EPS
Source: FnGuide Quantiwise, Yuanta Securities

KOSPI: 24MF P/E (current 3.5x) and adj P/E (current 4.2x)



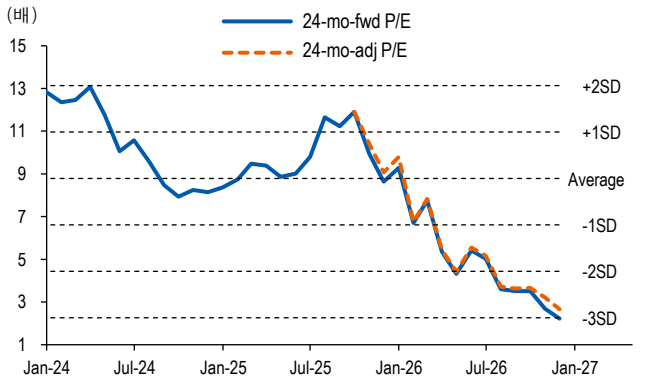
Note: adjusted P/E assumes a 10% reduction in 2027 EPS and a 25% reduction 2028E EPS; source: FnGuide Quantiwise, Yuanta Securities

SEC: 12MF P/E (current 2.4x) and adj P/E (current 2.6x)



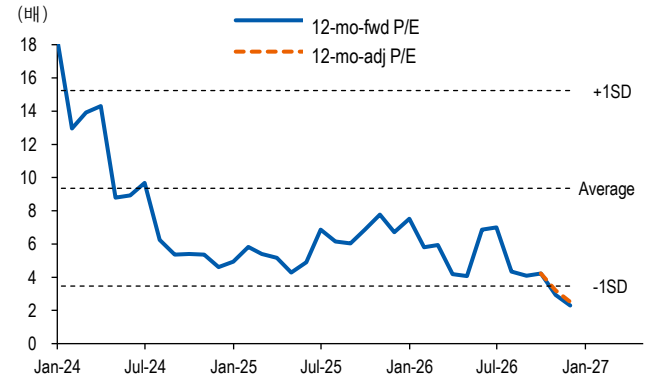
Note: adjusted P/E assumes a 10% reduction in 2027 EPS
Source: FnGuide Quantiwise, Yuanta Securities

SEC: 24MF P/E (current 2.2x) and adj P/E (current 2.7x)



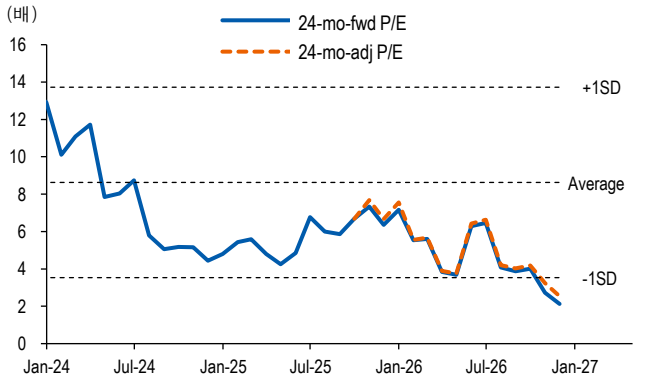
Note: adjusted P/E assumes a 10% reduction in 2027 EPS and a 25% reduction 2028E EPS; source: FnGuide Quantiwise, Yuanta Securities

SK Hynix: 12MF P/E (current 2.3x) and adj P/E (current 2.5x)



Note: adjusted P/E assumes a 10% reduction in 2027 EPS
Source: FnGuide Quantiwise, Yuanta Securities

SK Hynix: 24MF P/E (current 2.1x) and adj P/E (current 2.5x)



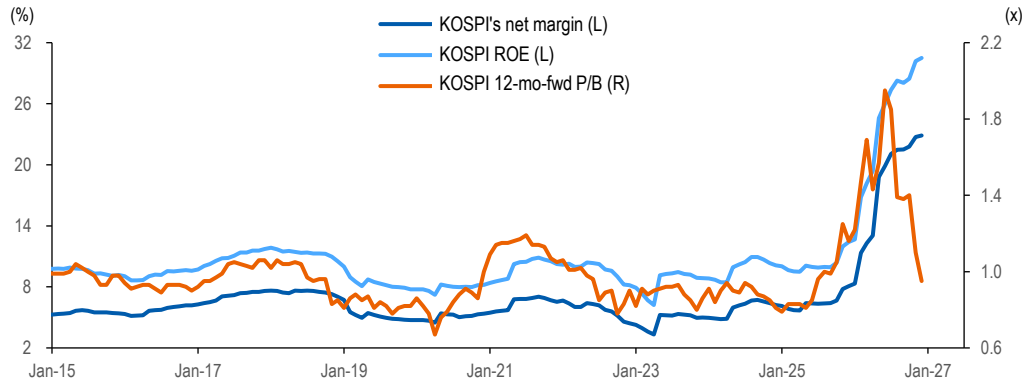
Note: adjusted P/E assumes a 10% reduction in 2027 EPS and a 25% reduction 2028E EPS; source: FnGuide Quantiwise, Yuanta Securities

KOSPI 12MF P/B based on I/B/E/S data: 1.0x as of Nov 6 close, below historic average of 1.1x



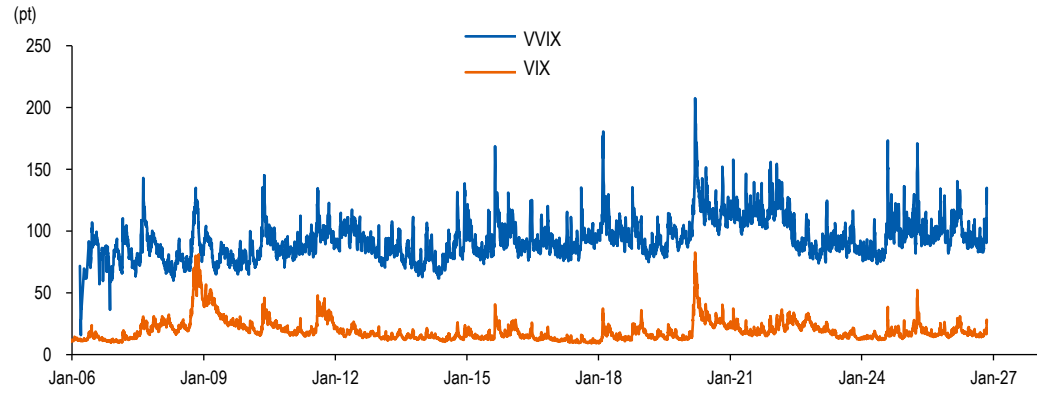
Source: LSEG Workspace, Yuanta Securities

KOSPI 12MF P/B, net profit margin, and ROE



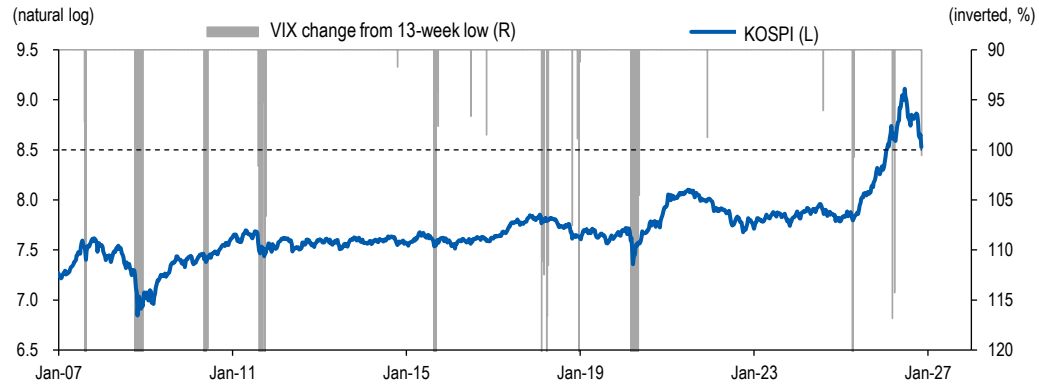
Source: FnGuide Quantiwise, Yuanta Securities

VIX and VVIX (implied volatility of the VIX): 28.2 and 135.0, respectively, as of Nov 5



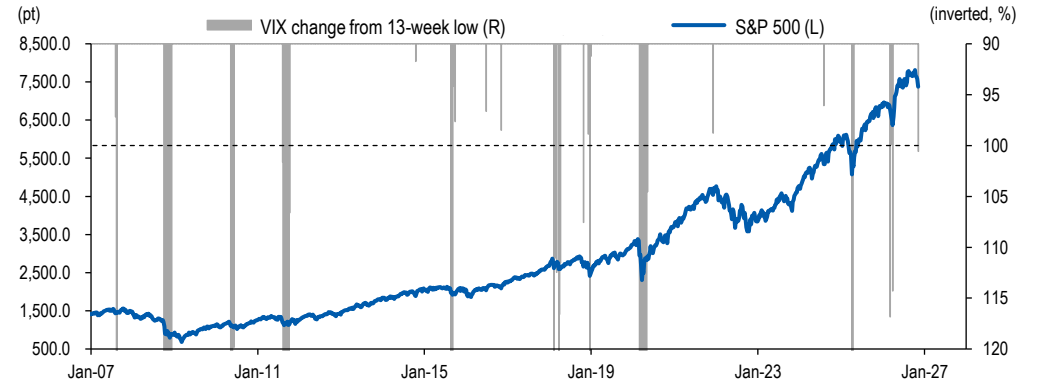
Source: Bloomberg, Yuanta Securities

Intense selling pressure on KOSPI subsides as VIX retreats by over 100% from 13-week low



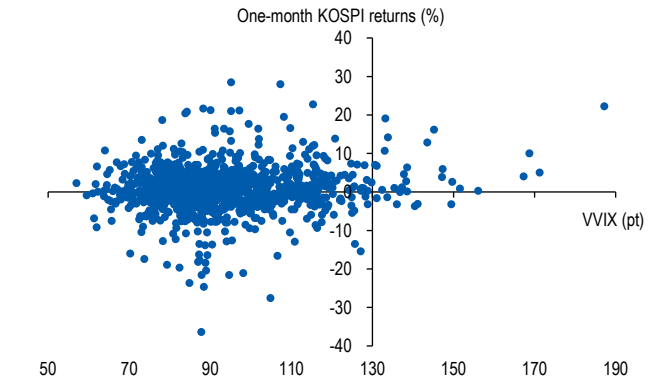
Source: Bloomberg, Yuanta Securities

Intense selling pressure on S&P 500 subsides as VIX falls by over -100% from 13-week low



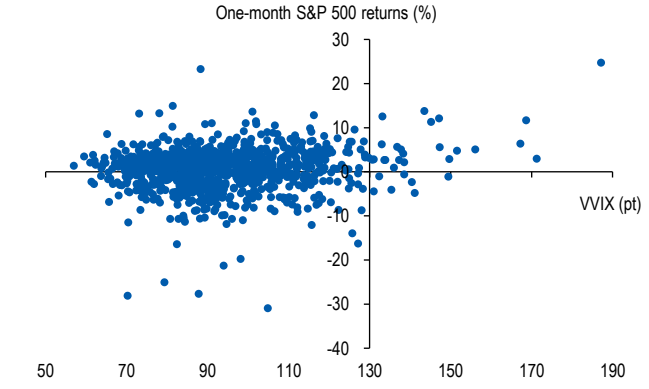
Source: Bloomberg, Yuanta Securities

VVIX and subsequent one-month KOSPI returns



Source: Bloomberg, Yuanta Securities

VVIX and subsequent one-month S&P 500 returns



Source: Bloomberg, Yuanta Securities

Portfolio check: defense becomes alpha where fear prevails

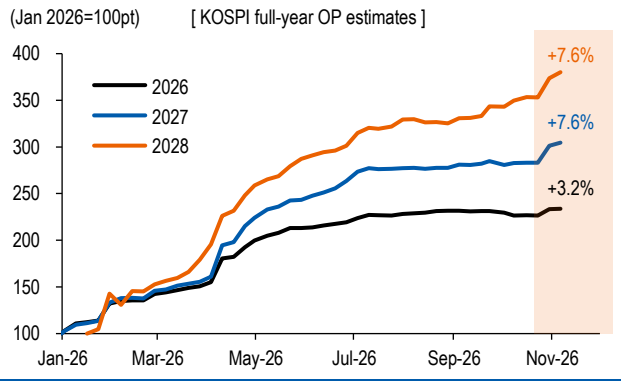
Eroded trust in earnings

Skepticism over earnings trajectory drives valuation discounts to record highs

During the 3Q26 earnings season in late October, KOSPI OP estimates were revised up sharply again. Full-year OP estimates were raised by about 3.2% for 2026, and by about 7.6% for 2027 and 2028. Upward revisions were bigger for 2027 and 2028 than 2026, as earnings visibility rises going into year-end. This implies that the current upward revisions represent a step-up in the mid- to long-term earnings level itself, rather than a short-term earnings surprise.

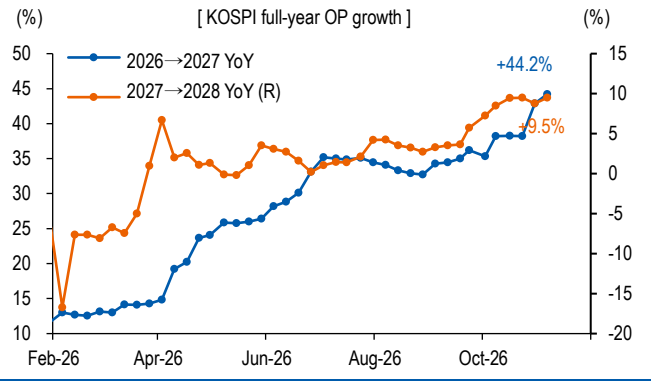
Based on current estimates, a multi-year step-up in earnings growth is projected from 2026 through 2028. OP growth in 2026→2027 expanded from around 35% in October to 44.2%, and the 2027→2028 growth trajectory also widened from around 5% to 9.5%. Following steep growth in 1H26, earnings stability and further growth are expected.

Steep upward revisions in KOSPI OP since late October



Source: FnGuide Quantiwise, Yuanta Securities

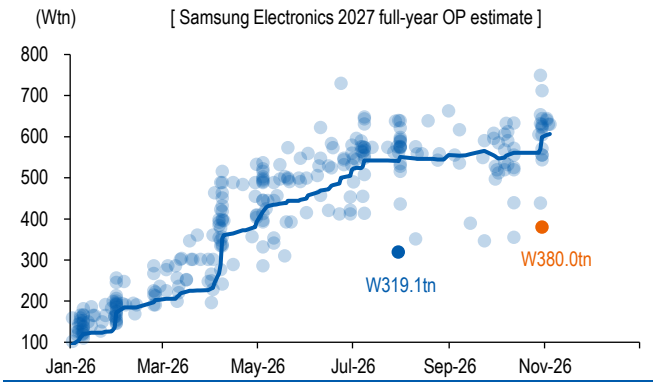
Multi-year step-up growth projected for 2026, 2027 and 2028 based on estimates



Source: FnGuide Quantiwise, Yuanta Securities

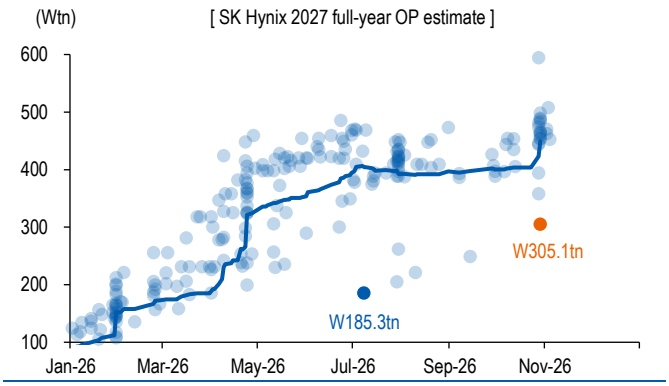
Semiconductors are undeniably leading the upward revisions. Notably, the lower bound of estimates is also rising. The lower bound of Samsung Electronics' 2027 OP estimates rose from W319.1tn in 2Q26 earnings seasons (July) to W380.0tn recently, while SK Hynix's OP estimate also rose sharply from W185.3tn to W305.1tn. Even the most conservative estimates are being revised upward.

Lower bound of Samsung Electronics' earnings estimates formed in 2Q26 earnings season (July) gradually rising



Source: FnGuide Quantiwise, Yuanta Securities

Lower bound of SK Hynix's 2027 earnings estimates also rising



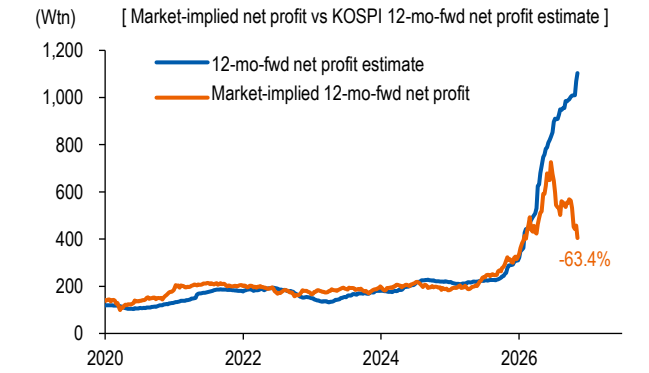
Source: FnGuide Quantiwise, Yuanta Securities

In contrast to these higher estimates, market doubts over the stock market's earnings trajectory are spreading. Based on the median 12-month-forward P/E since 2004, the 12-month-forward net profit implied in current share prices stands at around W400tn (estimate W1,103.7tn). Market-implied net profit has been declining since late June, widening the gap with consensus estimates to about -63.4%.

As a result, the market is pricing in a record-high discount. Since 2007, the gap between market-implied net profit and 12-month-forward estimates has mostly fluctuated within a 20% range. Even during extreme phases like the global financial crisis, the discount was limited to around -30%. The current discount rate is almost double that of past crisis phases. This means that the market is not simply worried about a partial downward revision to earnings estimates, but does not trust the step-up earnings growth trajectory itself.

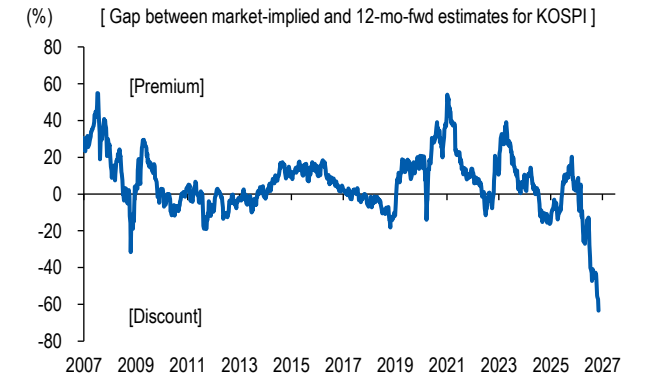
Skepticism in earnings estimates is even more pronounced in the semiconductor sector. The sector's 12-month-forward net profit estimate exceeded W900tn, while its market-implied net profit is at a quarter of that level (W238.7tn), reflecting a 73.6% discount. With the sector that leads overall upward earnings revisions simultaneously facing the greatest distrust, the key variable for the market now is restoring trust in earnings, rather than further upward revisions to estimates.

Spreading market distrust in stock market earnings trajectory



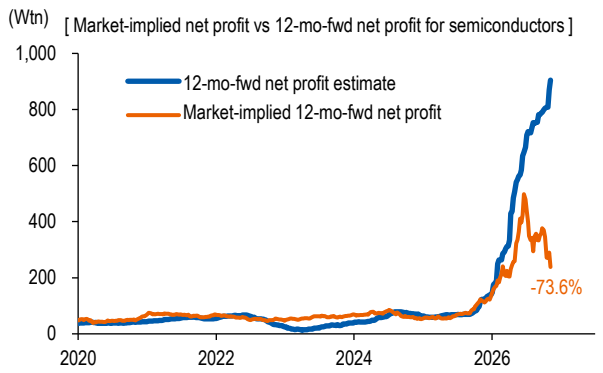
Note: back-calculated based on discount rate to median 12-mo-fwd P/E since 2004
Source: FnGuide Quantiwise, Yuanta Securities

Share prices reflect record-high discount



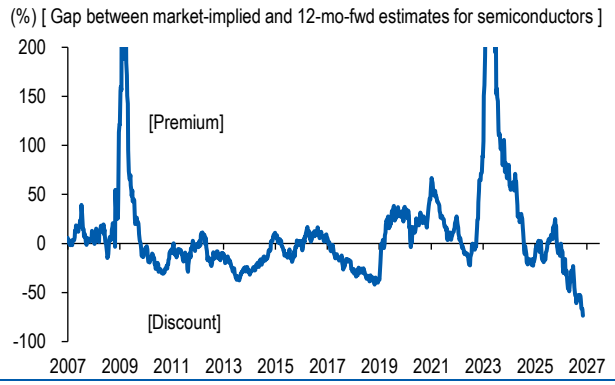
Note: premium/discount rate to median 12-mo-fwd P/E since 2004
Source: FnGuide Quantiwise, Yuanta Securities

Semiconductor sector reflects discount of about 73.6%



Note: back-calculated based on discount rate to median 12-mo-fwd P/E since 2004
Source: FnGuide Quantiwise, Yuanta Securities

Distrust in earnings estimates at an all-time high



Note: premium/discount rate to median 12-mo-fwd P/E since 2004
Source: FnGuide Quantiwise, Yuanta Securities

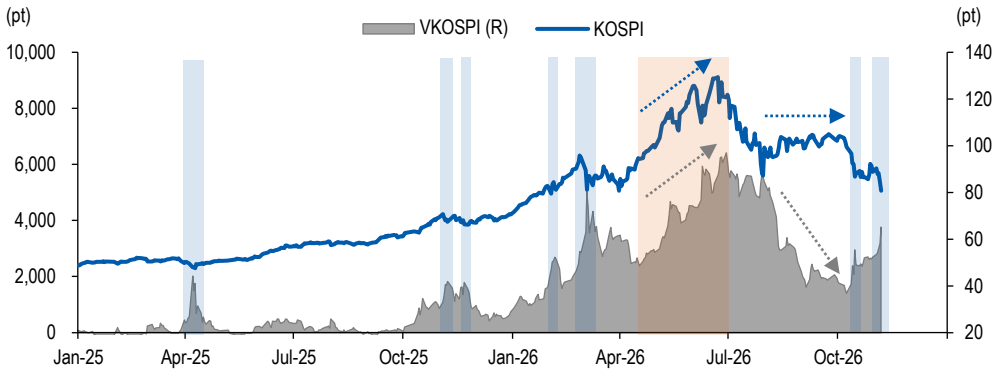
Volatility, double-edged sword

Direction matters more than magnitude, volatility will not subside easily

In May-June this year, the Korean stock market saw an unusual trend where the VKOSPI and KOSPI rose together. Typically, the volatility index spikes alongside a market shock and the market recovers as volatility eases, but during this period, the VKOSPI surpassed 90pt while the KOSPI was hitting new highs. From July onward, as the KOSPI corrected, the VKOSPI also fell and stabilized.

Subsequently, the VKOSPI rebounded alongside market sell-offs on Oct 15, triggered by concerns over credit risk at CoreWeave and CXMT's server DDR5 launch plan, and on Nov 6, driven by the US midterm elections, returning to the familiar pattern of "VKOSPI spike = KOSPI shock."

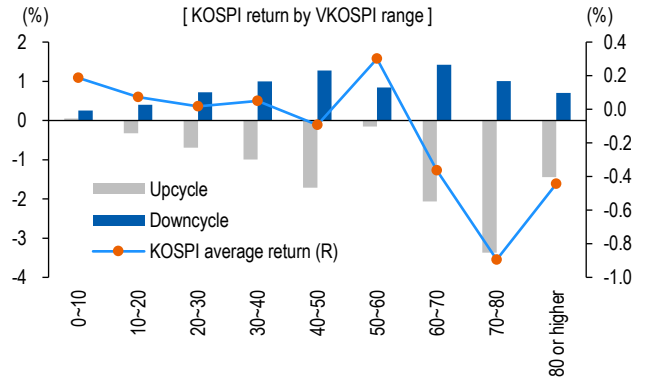
VKOSPI, KOSPI moved in tandem in May-June, but return "VKOSPI spike = KOSPI plunge" pattern



Source: FnGuide Quantiwise, Yuanta Securities

Currently, with market volatility expanding, the VKOSPI exceeds 60pt, a level associated with market shocks. However, when looking at KOSPI returns by VKOSPI range, performance diverges even at the same level depending on the direction of the VKOSPI. Even in a high-volatility phase above 60pt, the KOSPI tends to turn up when the VKOSPI is falling. As such, the key is direction, not the absolute level of volatility.

Direction of volatility expansion/reduction is key rather than VKOSPI level



Source: FnGuide Quantiwise, Yuanta Securities

Put-Call Skew Index indicating direction of volatility

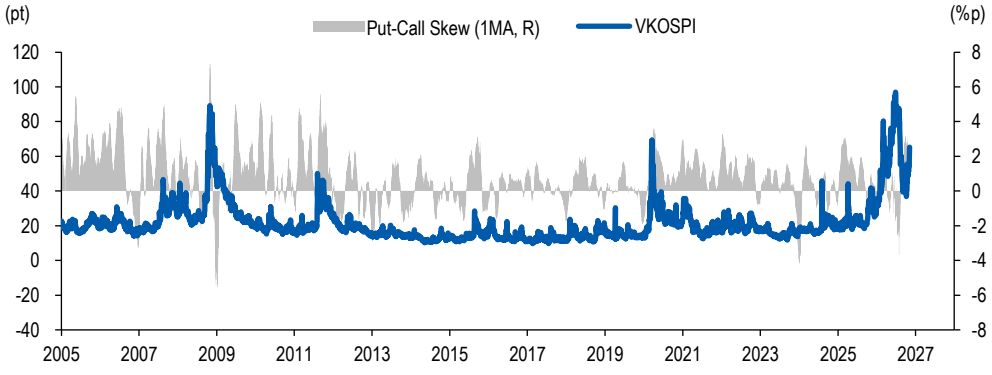
	VKOSPI	Put-Call Skew
Definition	Expected volatility over next 30 days	Put option volatility relative to call option volatility
Implication	Magnitude of volatility	Direction of volatility

Source: FnGuide Quantiwise, Yuanta Securities

The VKOSPI measures the expected "magnitude" of volatility over the next 30 days based on options-implied volatility. Therefore, it does not show whether market participants are more wary of upside or downside risks. The Put-Call Skew index is calculated as the difference between the implied volatility of put options and that of call options. A positive reading implies put-dominant (fear-driven) volatility, reflecting stronger demand for downside hedging, while a negative reading can be interpreted as call-dominant (greed-driven) volatility, reflecting stronger demand to capture further upside.

Looking at the long-term trend, VKOSPI spikes mostly occur alongside an expansion in put volatility. Since 2005, the Put-Call Skew has mostly stayed in positive territory. During major crisis phases when the VKOSPI surged, the skew widened further into positive direction. This means that the expansion of volatility in the options market fundamentally stems from hedging demand against downside tail risk. This explains why the VKOSPI is often called the "fear index."

VKOSPI and Put-Call Skew trend; VKOSPI spikes occur on expansion in put option volatility



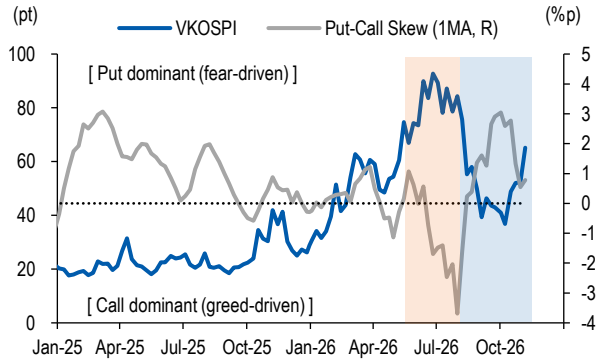
Note: based on ATM implied volatility of front-month and second-month Call/Put options
Source: FnGuide Quantiwise, Yuanta Securities

Examining May-June's unusual market dynamics alongside the Put-Call Skew Index, the skew fell to -3 to -4%p, indicating call-dominant volatility. Call buying driven by FOMO sentiment on the market rally, or greed-driven volatility, drove the VKOSPI higher. However, from July onward, the skew rapidly shifted to a put-dominant phase, a trend that persists to date. As the driver of the VKOSPI shifted from greed to fear, the relationship between the KOSPI and VKOSPI also normalized.

Analyzing VKOSPI movements across Put-Call Skew ranges, the VKOSPI tends to rise during call-dominant phases. However, when the skew expands to over 4%p, the VKOSPI tends to decline. When rising put-option implied volatility leads to a sharp increase in the pricing-in of downside tail risks, market anticipation of negatives contributes to stabilizing volatility. However, the current Put-Call Skew Index sits in the 1-3%p range, suggesting that the VKOSPI is more likely to remain at an elevated level rather than stabilizing quickly.

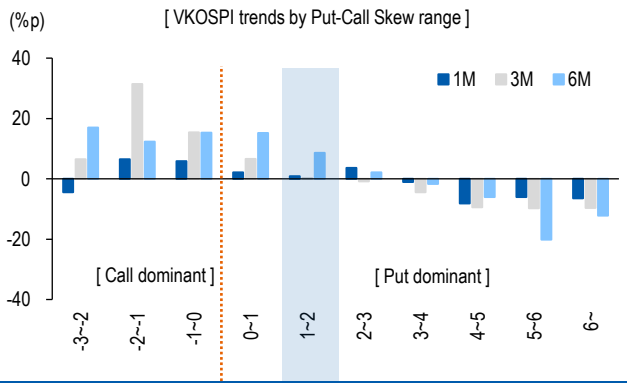
Although the "Blue Tsunami" scenario has materialized, with Democrats sweeping both the Senate and the House, the new Congress is scheduled to convene in January next year, and details on key policies including tariffs, legislation, and data center regulations have yet to take shape. High volatility driven by reactions to Democratic lawmakers' remarks and individual corporate responses will likely persist.

Shift from call-dominant (greed-driven) volatility in May-June to put-dominant (fear-driven) volatility



Source: FnGuide Quantiwise, Yuanta Securities

Pre-pricing of negatives triggers volatility stabilization; current volatility highly likely to persist



Note: since 2005
Source: FnGuide Quantiwise, Yuanta Securities

A crisis-resilient portfolio

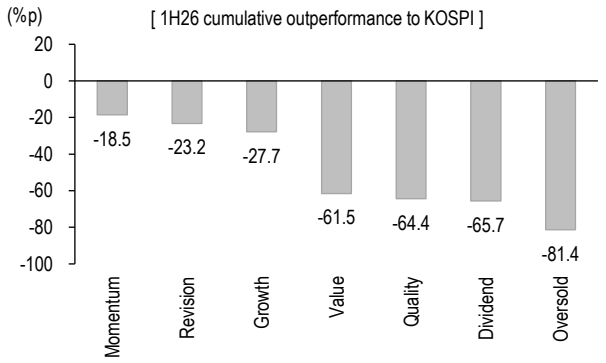
Focus on style strategies; volatility reduction is key

In 1H26, as the bull market continued, driven by large-cap semiconductor stocks, style strategies underperformed across the board. On a 1H26 cumulative basis, all seven style strategies underperformed the KOSPI. Even momentum and revision styles that were relatively solid also underperformed significantly.

Entering 2H26, the performance of style strategies improved. As semiconductor momentum slowed and large-cap concentration eased, the performance of style strategies improved rapidly. On a 2H26 cumulative basis, all seven styles outperformed the KOSPI.

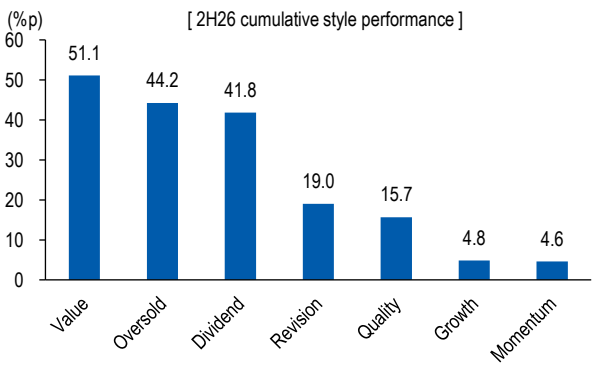
Notably, performance diverged across styles. Outperformance was concentrated in defensive styles including value (+51.1%p), oversold (+44.2%p), and dividend (+41.8%p). Revision (+19.0%p) and quality (+15.7%p) styles also outperformed. Styles that were most sluggish in 1H26 enjoyed the largest rebounds in 2H26.

Style strategy performance lagged as large-cap semiconductor bull market continued in 1H26



Source: FnGuide Quantiwise, Yuanta Securities

Style strategy performance improved as semiconductor momentum slowed and concentration eased in 2H26

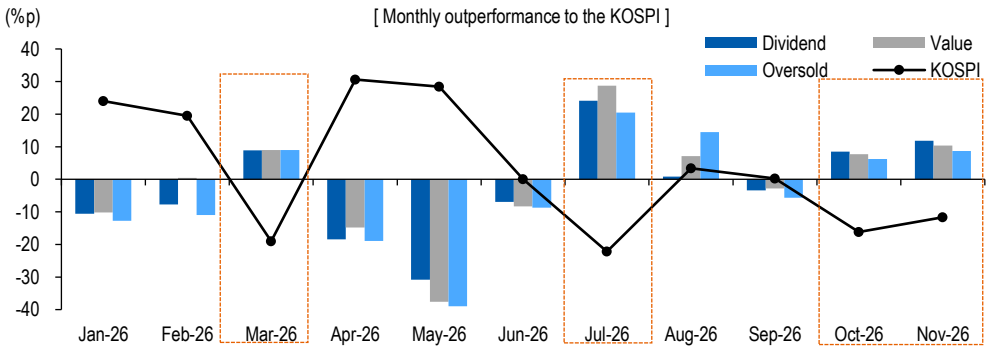


Source: FnGuide Quantiwise, Yuanta Securities

Looking at monthly performance, defensive styles largely outperformed during months when the KOSPI fell. When the KOSPI plunged in March and July, dividend, value, and oversold styles all outperformed significantly, with all three styles posting an outperformance of over 20%p in July.

The same pattern was repeated in October-November. With the KOSPI declining for two straight months, dividend, value, and oversold styles all outperformed. This reflects growing demand to reduce portfolio volatility amid rising volatility. As mentioned above, the Put-Call Skew Index suggests that the VKOSPI is highly likely to remain at an elevated level, while uncertainty persists as the direction of US policy takes shape. We expect favorable conditions for defensive styles to persist.

Defensive style performance expands in October-November due to rising demand to reduce volatility; these styles perform well during periods of heightened volatility



Source: FnGuide Quantiwise, Yuanta Securities

Ultimately, reducing portfolio volatility is the key priority in the current environment. Earnings estimates are being revised up, but the market has little confidence in the earnings trajectory, resulting in a record-high valuation discount. In such an environment, portfolios based solely on fundamentals, including earnings estimates, are vulnerable to volatility. Investors should therefore consider volatility reduction alongside fundamentals. Finally, among stocks scoring high on: 1) 2026E annual dividend yield; 2) 12-month-forward P/E relative to the historical average; and 3) 3-month 12-month-forward net profit revision rate, we screen for sectors and stocks expected to sustain long-term growth.

Focus on sectors scoring high on: 1) 2026E annual dividend yield; 12) 12-mo-fwd P/E vs average; 3) 3-mo 12-mo-fwd net profit revision rate; and 4) sustained growth in 2026-2028

Sector	2026E dividend yield (%)	3-year avg P/E (12-mo-fwd, x)	P/E (12-mo-fwd, X)	12-mo-fwd net profit (Wtn, %)			Annual net profit estimate (Wtn)		
				-3M	Current	Change	2026	2027	2028
Semiconductors	3.6	8.6	2.3	759.9	908.2	19.5	617.3	934.7	1,035.9
IT appliance	0.8	40.7	29.1	6.0	6.8	14.5	3.1	7.2	11.3
Media/education	2.5	17.9	12.4	1.4	1.5	5.4	1.0	1.5	1.8
Chemicals	1.3	22.8	14.8	4.2	4.3	1.1	1.4	4.5	7.4
Steel	3.6	11.6	9.3	3.4	3.5	2.2	2.6	3.6	4.3
IT hardware	0.5	18.1	14.7	6.0	6.8	13.1	3.9	7.0	10.1
Machinery	1.7	22.3	17.0	7.6	8.1	6.6	6.2	8.3	10.3
Hotel/leisure service	4.5	12.2	9.5	0.9	0.9	-7.6	0.7	0.9	1.0
Shipbuilding	3.9	16.8	6.3	21.8	22.3	2.4	20.6	22.5	25.6
Retail	2.8	9.4	7.1	2.4	2.4	2.7	1.9	2.5	2.9
Health care	0.7	36.5	25.7	7.6	8.0	5.0	6.8	8.1	9.4
Energy	2.8	10.1	4.0	33.8	39.6	17.1	46.6	39.0	40.3
Insurance	3.6	7.4	7.3	11.1	12.7	14.5	10.2	12.9	11.2
Transportation	3.4	8.8	8.9	5.4	6.2	14.6	5.6	6.7	6.9
Display	2.8	0.1	8.5	1.0	0.8	-20.9	0.1	0.8	1.1
Trading/capital goods	2.2	11.0	10.8	22.4	23.8	6.6	19.8	24.2	27.5
Utilities	3.1	4.0	4.1	9.8	8.2	-16.9	6.6	8.3	10.2
Consumer staples	3.1	10.2	10.3	5.2	5.6	7.4	4.7	5.6	6.2
Software	1.4	18.5	14.0	8.5	8.7	1.7	7.4	8.8	10.1
Telecom services	4.4	9.2	9.7	3.8	3.9	4.0	3.7	4.0	4.2
Construction	2.2	7.8	7.2	6.0	6.4	6.9	6.2	6.4	7.2
Cosmetics, apparel, toys	2.4	10.5	9.6	5.4	5.3	-1.1	4.6	5.4	6.1
Securities	5.0	6.7	5.5	12.9	11.5	-10.7	13.9	11.3	11.9
Auto	4.2	5.5	6.0	30.3	27.1	-10.6	24.7	27.3	30.3
Banking	4.0	6.3	7.1	27.7	27.8	0.2	26.8	27.9	29.2
Non-ferrous metal, woods	2.4	18.3	16.3	1.8	1.5	-14.5	1.7	1.5	1.7

Note: ordered by composite score descending
Source: Yuanta Securities

Screening top 20% stocks on composite score of: 1) 2026E annual dividend yield; 12) 12-mo-fwd P/E vs average, 3) 3-mo 12-mo-fwd net profit revision rate; and 4) sustained growth in 2026-2028

Company	Sector	Market cap (Wbn)	2026E div yield (%)	P/E (12MF, x)	vs 3-year average (%)	12-mo-fwd net profit (Wbn, %)			Annual net profit estimate (Wbn)		
						-3M	Current	Change	2026	2027	2028
Samsung Electronics	Semiconductor	1,103,193	5.1	10.6	-74.9	413,068	476,717	15.4	307,974	492,057	544,953
SK Hynix	Semiconductor	826,917	2.4	7.2	-69.3	296,607	369,817	24.7	255,655	380,195	429,848
SEMCO	IT hardware	64,984	0.3	29.8	-20.7	2,542	3,553	39.8	1,783	3,714	5,612
LS Electric	Machinery	17,475	0.9	12.2	-21.8	695	817	17.5	556	840	1,103
Samsung Heavy	Shipbuilding	14,256	1.9	11.4	-49.7	1,281	1,437	12.2	1,061	1,472	1,764
Korean Air	Transportation	10,826	2.3	24.0	0.8	1,044	1,288	23.4	265	1,381	1,807
APR	Cosmetics, apparel, toys	9,565	2.1	18.6	-38.1	738	749	1.4	545	767	993
Isu Petasys	Semiconductor	4,559	0.4	21.9	-54.3	338	415	22.8	275	428	526
Simmtech	IT hardware	3,648	0.1	27.9	-55.4	264	364	37.7	185	380	522
Daeduck Electronics	IT hardware	3,519	0.8	5.8	-43.2	296	347	17.5	236	358	480
KEPCO E&C	Utilities	2,825	1.4	18.2	-38.2	81	87	8.2	59	90	130
HPSP	Semiconductor	2,745	1.7	9.1	-42.4	137	171	25.2	120	176	213
Lotte Corp	Trading/capital goods	2,238	5.6	15.5	-27.4	153	118	-23.1	75	122	240
SILICON2	Retail	1,761	1.3	12.4	-50.8	264	297	12.8	240	303	372
Daejoo Electronic Materials	IT hardware	1,170	0.1	5.1	-46.7	33	39	18.6	27	40	72
CJ ENM	Media/education	1,013	2.6	8.3	-36.6	76	83	8.8	1	90	132
SeAH Besteel Holdings	Steel	967	4.2	22.3	-17.8	127	107	-15.7	63	111	144
Advanced Nano Products	Chemical	782	0.4	55.0	-46.4	15	27	82.9	19	27	44
SK Chemical	Chemical	750	2.7	14.7	-69.1	114	132	15.5	25	142	186
Hana Materials	Semiconductor	726	1.0	21.2	-50.2	92	99	7.9	73	101	137
DI	Semiconductor	702	1.8	16.4	-46.3	87	122	40.5	97	124	155
Seobu T&D	Hotel/leisure service	669	1.0	17.7	-40.3	62	80	29.3	66	81	100
TLB	Semiconductor	628	1.4	12.7	-44.8	56	65	15.8	45	67	98
Dong-A Pharm	Health care	586	2.0	9.3	-22.4	79	98	23.5	79	99	126
Haeusng DS	Semiconductor	573	2.8	7.9	-45.2	104	112	8.5	76	116	133

Note: ordered in market cap descending
Source: Yuanta Securities

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  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
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  - Neutral: Investment weighting is equal to the market capitalization weighting
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